IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 117(ND)/2022 AND CA-477/2022

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 131(ND)/2021

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

M/S. R.P. INDIA FOODS PRIVATE LIMITED

..... Petitioner Company No.1 / Transferor Company

AND

M/S. FOOD PROCESSESING COMPANY PRIVATE LIMITED

..... Petitioner Company No.2 /Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 30.06.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioners	:	Mr. Pulkit Deora, Mr. Harsh Gurbani Advs.
For the RD	:	Mr. Sumit Kansal, Mr. Aryan Gupta, Advs.

ORDER

PER: DR. SANJEEV RANJAN, MEMBER (TECHNICAL)

CA-477/2022

1. This is a joint application under Rule 11 of the National Company Law Tribunal Rules, 2016 on behalf of Transferor Company (Applicant

Company No.1) and Transferee Company (Applicant Company No. 2) for condonation of delay of 18 days in filing of the Application for approval to Scheme of Merger.

2. It is submitted by the Petitioner Companies that this Tribunal vide order dated 29.03.2022 directed the holding of meeting of unsecured creditors of Food Processing Equipment Company Private Limited (Transferee Company) to be held on Wednesday, May 11, 2022 at 2.30 PM at the NSCI Club, Mathura Road, New Delhi and dispensed with holding of meetings of shareholders and secured creditors of the Transferor and Transferee Companies and also the meeting of unsecured creditors of the Transferor Company.
3. It is submitted by the Petitioner Companies that report of the Chairman of the meeting was received by the counsel of the Transferor and Transferee Company vide e mail dated 23.05.2022. In terms of Rule 15 (1) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 a petition was to be presented, for sanction of the Scheme of Arrangement, within seven days of the filing of the report by the Chairman. Accordingly, the said petition was to be filed by 30.05.2022.
4. It is submitted by the Petitioner Companies that there is a delay of 18 (eighteen) days in filing of the present petition for reason that the signatories of the application, being directors of the Transferor Company and the Transferee Company, were travelling and were not available for signing of the application.
5. This Tribunal has perused the contents of the condonation application and the supporting affidavit. The reason assigned for the delay appears to be reasonable and bona fide. The delay is only of 18 days, and no prejudice would be caused to any party if the delay is condoned.
6. It is a settled principle of law that procedural delays, particularly of a minor nature, should not defeat substantive justice, especially when sufficient cause is shown. Accordingly, the delay of 18 (eighteen) days in filing the petition is hereby condoned.

The present Second Motion Petition is jointly filed by the M/s. **R.P. INDIA FOODS PRIVATE LIMITED** (Petitioner Company No.1 /Transferor Company) and M/s **FOOD PROCESSESING COMPANY PRIVATE LIMITED** (Petitioner Company No.2 /Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation amongst the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

The Registered office of both i.e Petitioner Company No.1 /Transferor Company and Petitioner Company No.2 /Transferee Company is situated in the NCT of Delhi therefore, both of these companies fall under the jurisdiction of the National Company Law Tribunal, New Delhi.

1. The Petitioner Company No.1 /Transferor Company namely M/s. **R.P. INDIA FOODS PRIVATE LIMITED**, bearing CIN: U74899DL1996PTC077576 was incorporated on 26.03.1996 under the provisions of the Companies Act 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies NCT of Delhi & Haryana. The registered office of the Applicant Company 1 is situated at A-3/6, G/F, Acharya Niketan, Mayur Vihar Phase-I, New Delhi-110092. The Authorized Share Capital of the Company is Rs. 50,00,000/- and the Paid-Up Share Capital is Rs. 1,00,000/-
2. The Petitioner Company No.2 /Transferee Company namely M/s. **FOOD PROCESSESING COMPANY PRIVATE LIMITED**, bearing CIN: U15400DL1995PTC064453 was incorporated on 18.01.1995 under the provisions of the Companies Act 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies NCT of Delhi & Haryana. The registered office address of Transferee Company is situated at A-3/6, G/F, Acharya Niketan, Mayur Vihar Phase I, New Delhi-110092. The Authorized Share Capital of the Company is Rs. 50,00,000/- and the Paid-Up Share Capital is Rs. 4,72,00,000/-

3. It is stated that the Transferor Company viz., M/s. R.P. INDIA FOODS PRIVATE LIMITED and Transferee Company viz. FOOD PROCESSESING COMPANY PRIVATE LIMITED, have jointly moved the necessary second motion Petition **CP (CAA) – 117(ND)/2022** connected with the first motion Application being **CA (CAA) –131(ND)/2021**, before the National Company Law Tribunal, New Delhi.

4. Affidavits in support of the above petition has been sworn by Ms. Poonam Saxena, Director of M/s. R.P. INDIA FOODS PRIVATE LIMITED and Mr. Ramesh Kumar Saxena Director of M/s. FOOD PROCESSESING COMPANY PRIVATE LIMITED who have been authorized vide board resolution dated 24.09.2021 for both of the Petitioner Companies.

5. The Board of Directors of both the Petitioner Companies in their meeting held on 24.09.2021 have approved and adopted the Scheme of Amalgamation of M/s. M/s. R.P. INDIA FOODS PRIVATE LIMITED (Transferor Company) and M/s. FOOD PROCESSESING COMPANY PRIVATE LIMITED (Transferee Company) in accordance with the terms of the Scheme of Amalgamation.

6. The Scheme of Amalgamation of the above-mentioned companies is proposed to have the following rationale and benefits:

"The Rationale and Benefits from the proposed merger:

i. To restructure the shareholding pattern of FPECPL, which is currently held by RPIFPL, to the extent of 82.84% of the total issued share capital, as one of the promoters of the Company.

ii. To eliminate a layer of promoter's investment Company and streamline promoter holding.

iii. To vest the shareholding of the Company in the names of promoters of RPIFPL."

7. This Tribunal by its order dated 29.03.2022 in relation to Transferee Company had ordered for holding meeting of Unsecured Creditors and for this purpose appointed Mr. Milan Negi as Chairperson and Ms. Aditi Sharma as alternate Chairperson and Ms. Aditi Gupta as scrutinizer.

8. The report of the Chairperson on result of meeting of Unsecured Creditors of Transferee Company has been filed along with this petition according to

which Unsecured Creditors of the Transferee Company unanimously voted in favour of the proposed scheme of amalgamation.

9. The Second Motion petition has been moved by the Petitioner Company in connection with the Scheme of Amalgamation. This Tribunal on 20.11.2023 passed the following order:

"This is a second motion application filed by the Applicant. Issue notice to the RD, OL and Income Tax Department. The Applicant is also directed to publish the notice in two local Newspaper and file proof and affidavit of service within four weeks."

10. It is submitted that in compliance of the above stated directions, the Petitioner Companies have duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published in "Financial Express" (English) and "Jansatta" (Hindi) on issue dated 21.12.2023.

11. It is further submitted that the Transferor Company has also served the Notices of the present Company Petition to all the concerned authorities as per the direction given by this Tribunal vide order dated 26.02.2024.

12. The Regional Director along with the Registrar of Companies vide its representation/affidavit dated 26.04.2024 has not objected to the proposed scheme of the Amalgamation but has made certain observations. The Transferor company has filed a reply in response to the observations made by the Regional Director along with the Registrar of Companies, wherein the Transferor company has responded to the observations made and has given an undertaking to appropriately comply with the observations made by the Regional Director along with the Registrar of Companies. The details of the same are summarized below:

Observations of the Regional Director vide affidavit dated 26.04.2024	Reply of the Petitioner Company vide affidavit dated 23.09.2024
i. As per MCA General Circular no. 9/2019 dated	a) The "Appointed Date" in the Scheme of Amalgamation between the Transferor Company and the Transferee Company is

21.08.2019, if the appointed date is significantly ante-dated beyond a Year from the date of filling, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest. In this case, the appointed date is 01.04.2021. However, the justification of the same being significantly ante-dated in terms of the above circular is not clearly brought out.	01.04.2021 and the first motion application [CP(CAA) No. 131/ND/ 2021] was filed jointly by the Transferor Company and the Transferee on 30.09.2021, after the scheme had been considered and approved by the Board of Directors of both, the Transferor Company and the Transferee Company. Thus, the first motion was filed within a period of 6 (six) months from the Appointed Date. b) The prayers of the Transferor Company and the Transferee Company seeking exemption from meetings of (i) shareholders of the Transferor Company and the Transferee Company, (ii) secured creditors of the Transferor Company and the Transferee Company, and (iii) unsecured creditors of the Transferor Company, and holding meeting of the unsecured creditors of the Transferee Company were allowed by this Hon'ble Tribunal vide its Order dated 29.03.2022. c) Subsequent to the aforesaid order of the Hon'ble Tribunal, the meeting of the unsecured creditors of the Transferee Company was held on 11.05.2022 under Chairmanship of Mr. Milan Singh Negi, Advocate, appointed by the Hon'ble NCLT. Pursuant thereto the Transferor Company and the Transferee Company jointly filed the second motion petition on 17.06.2022. d) In the circumstances, the application of the Transferor Company and the Transferee

	Company cannot be considered to be antidated and therefore, the observation of RD / RoC is incorrect.
ii. In the case of Transferor Company and Transferee Company at the time of incorporation authorized share capital was the Rs. 1,00,000/- and Rs 2,50,00,000/- respectively, and as per audited financial statements for the F.Y. 2022-23 authorized share capital is Rs. 50,00,000 and Rs. 5,00,00.000 respectively. Thus, during these periods (i.e. since incorporation to year ended 31.03.2023) the companies have increased its authorized share capital by Rs. 49,00,000 and 2,50,00,000 respectively. However,	a) It is submitted that the relevant forms were infact duly filed by the Petitioners company and the same were duly uploaded on the MCA portal – Transferor Company in 2005 and Transferee Company in 2008. The same is evident from the records of the respective companies as available on the portal of Ministry of Corporate Affairs. Therefore, the observation of RD / RoC is incorrect. Copy of the Form 5 filed by the Transferor Company for raising its Authorised Capital from Rs. 1,00,000 to Rs. 50,00,000 is attached as Annexure -1 and Copy of the Form 5 filed by the Transferee Company for raising its Authorised Capital from Rs. 2,50,00,000 to Rs. 5,00,00,000 is attached as Annexure -2.

as per MCA-21 portal records it is observed that the companies have neither file its Form-5 nor e-from SH-7 with the RoC. Hence, the Companies may be asked to clarify compliances of the provision of the section 61 of the Companies Act, 2013.	
iii. As per audited financial statements of the Transferee Company for the F.Y.2022-23. it is seen that the more than 10% of the Shares are held by the body corporates. However, the company has not file the e-form BEN-2 with Roc Hence, The Company may be asked to clarify the same.	a) It is submitted that the filing of the said form was inadvertently omitted by the Transferee Company and the said requirement has now been fulfilled by the Transferee Company by filing the eform BEN-2 vide SRN F96436852 dated 26.06.2024. Therefore, the observation of RD / RoC is now resolved. Copy of e-form BEN-2 and the challan evidencing filing thereof are attached as Annexure -3.
iv. There is a significant cross holding of equity share between the	a) It is a matter of record, there is a significant cross holding of equity shares between the Transferor and the Transferee Company as the Transferor Company holds about 82.84%

Transferor and the Transferee Company	of the total issued share capital of the Transferee Company, and the Transferor Company is the Holding Company of Transferee Company.
v. In case of Transferor Company auditor has stated in the audit report for the F.Y. 2022- 23, that the company has incurred cash losses in the current financial year as well as previous year.	a) It is a matter of record, which does not merit any response.
vi. As per audited financial statement of the Transferee Company for the FY 2022-23, it is seen that the company has nil revenue from operation since last two years. Hence, the company appear to be dormant u/s 455 of the Companies Act, 2013.	a) The provisions of section 455 of the Companies Act, 2013, are being reproduced herein for the sake of reference: "Section 455. Dormant company 1) Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the in such manner as may be for obtaining the status of a dormant company. Explanation.—For the purposes of this section,— (i) "inactive company" means a company which has not been carrying on any business or operation, or has not made any

	significant accounting transaction during the last two, or has not filed and annual returns during the last two financial years; (ii) "significant accounting transaction" means any transaction other than— (a) payment of fees by a company to the Registrar; (b) payments made by it to fulfil the requirements of this Act or any other law; (c) allotment of to fulfil the requirements of this Act; and (d) payments for maintenance of its office and records." b) It can be observed from the afore-reproduced section that the said provision is applicable to an inactive company which is a company not been carrying on any business or operation, or has not made any "significant accounting transaction" during the last two financial years. c) However, the Transferee Company cannot be considered to be an "inactive company" as, amongst other reasons, it can be seen from the Audited Profit and Loss Account for the year ended March 31, 2023 that: (i) the Transferee Company has had an income of Rs. 63.11 Lakhs out of which an amount of Rs. 62.23 Lakhs is interest income on bank deposits;

	(ii) the work in progress has increased by an amount of Rs. 57.93 Lakhs which represent the expenses incurred by the Company against the then ongoing project of Municipal Corporation, Faridabad for establishment/ construction of modern abattoir for goat/ sheep and poultry on turnkey basis at sector 57, Industrial Area, Faridabad and a STP Plant; and (iii) the Transferee Company has paid salaries of Rs. 51.80 Lakhs to its employees during the year ended March 31, 2023. Copy of Audited Profit and Loss Account for the year ended March 31, 2023 along with relevant schedules of Transferee Company is annexed as Annexure -4. d) Therefore, the observation of RD / RoC is incorrect on this count as the Transferee Company has been carrying on their business and has also done significant accounting transaction during the last two financial years
vii. The Transferee company may kindly be directed to comply with the provisions of Section 232 (3) (i) of the Companies Act. 2013 regarding fee payable of its revised	a) Section 232 (3) (i) of the Companies Act, 2013 provides that: "Where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be setoff against any fees payable by the transferee company on its

Authorized Share Capital.	authorised capital subsequent to the amalgamation" b) In respect of the authorized capital of the Transferee Company, upon sanction of the Scheme, clause 10.1 of the Scheme provides that: "Upon sanction of this Scheme, the Authorised Share Capital of FPECPL (Transferee) shall stand automatically increased without any further act, instrument, deed on the part of FPECPL, including payment of stamp duty and fees payable to Registrar of Companies, by the authorized share capital of RPIFPL as on the Effective Date." c) Further, Clause 10.3 of the Scheme provides that: "Accordingly, on sanction of the Scheme, the Authorised Equity Equity Share Capital of FPECPL (Transferee Company) shall increase to Rs. 5,50,00,000/- (Rupees Five Crore Fifty Five Lakh only) divided into 55,00,000 (Fifty Five Lakh) Equity Shares of Rs. 10/- (Rs. Ten only) each and Clause V (Capital Clause) of Memorandum of Association of FPECPL shall stand altered as under: "The Authorised Share Capital of the Company is Rs. 5,50,00,000/- (Rupees Five Crore Fifty Lakh Only) divided into 55,00,000 (Fifty Five Lakh) Equity Shares of Rs. 10/- (Rs. Ten Only) each."

	d) As the Transferor Company has already paid the requisite fee on its authorized capital of Rs. 50,00,000 at the time of incorporation as well as at the time of increase in 2005 and the Transferee Company has already paid the requisite fee on its authorized capital of Rs. 5,00,00,000 no further fee is payable on the aggregate authorized capital of Rs. 5,50,00,000. e) Hence, the provision of Section 455 of Companies Act, 2013 is not applicable in this case and this observation of RD is also incorrect.

13. During the course of proceedings on 19.05.2025 the Learned Counsel appearing on behalf of RD submitted that the RD is satisfied with the response given by the Petitioner to the observations given by the RD.

14. The Official Liquidator vide its report dated 02.11.2024 has submitted to this tribunal stating therein that on the basis of information submitted by the Petitioner Companies the official liquidator is of the view that the affairs of the Transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act 2013. On 19.05.2025 the learned counsel appearing on behalf of OL submitted that the OL has no objections in the report. The order dated 19.05.2025 is reproduced below:

"We have heard the submissions of Mr. Pulkit Deora, Ld. Counsel appearing on behalf of Petitioner. The Petitioner has filed an undertaking with respect to the Income Tax Dues in compliance of the order dated 17.02.2025.

Ld. Counsel appearing on behalf of RD submitted that the RD is satisfied with the response given by the Petitioner to the observations given by the RD.

Ld. Counsel appearing on behalf of OL submitted that the OL has no objection in the report."

15. Vide order dated 17.02.2025 the Income Tax Department was set ex-parte as no one appeared on behalf of Income Tax Department nor filed any report. This Tribunal directed the Applicant to file an undertaking with respect to the payment of income tax dues in case the present scheme is approved. The order dated 17.02.2025 is reproduced below:

"Mr. Pulkit Deora, Ld. Counsel appears for the Applicant and Mr. Kartikeya Asthana, Ld. Counsel appears for the OL and Mr. Sumit Kansal, Ld. Counsel appears for the RD.

The reports filed by the OL and RD are on record.

No one has appeared on behalf of Income Tax Department nor filed any report. Therefore, the Income Tax Department is set ex-parte.

The Applicant is directed to file an undertaking on behalf of transferee company for transferor and the transferee company with respect to the payment of income tax dues in case the present scheme is approved within ten days'."

16. In compliance of order dated 17.02.2025 Mr. R.K. Saxena, Director of Food Processing Equipment Company Private Limited (Transferee Company) has filed an undertaking the relevant portion of which is reproduced below:

a. *"That as on the date of this undertaking, there is no amount of income tax due or payable by the Transferor Company. However, in the event any amount becomes payable by the Transferor Company, in future, on account of any liability towards income tax, the Transferee Company shall pay and bear the same in accordance with applicable provisions of law.*
b. *That the Transferee Company further confirms that the Scheme of Merger, if approved by this Hon'ble Tribunal, will not adversely affect the right of recovery of the Income Tax Department from the Transferor Company.*
c. *That the Transferee Company will also honor and pay any tax if found to be due towards Transferee Company, in accord applicable provisions of law."*

17. The Transferor Company has undertaken to maintain the account in accordance with and as per the method of Amalgamation prescribed in the

applicable Indian Accounting Standard as notified under Section 133 of the Companies Act, 2013 read together with Paragraph 3 of the Companies (Indian Accounting Standard) Rules, 2016 and other accounting principles generally accepted in India.

In this regard, Certified true copy of Certificate dated 03.09.2021 obtained from the Statutory Auditors of the Transferor Company confirming the accounting treatment proposed in the Scheme of Amalgamation are filed along with the Petition.

18. No investigation proceedings have been instituted and are pending in relation to the Transferor Company under sections 206 to 229 (Chapter XIV) of the Companies Act 2013.

19. Analysis and Finding

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Company and the Transferee Company and the Scheme will be beneficial to the Transferor Company, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Company, Transferee Company, their respective shareholders, creditors, employees and all concerned.

In view of the foregoing discussions and upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

20. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 232(7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation file a statement every year in Form CAA 8 along with the required fee with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of Amalgamation i.e., 01.04.2021 is confirmed by this Tribunal.

21. This Tribunal does further order: -

i. That the Transferor Company shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the

Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Company on the said date; and

vi. That the Petitioner Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

22. Accordingly, the Scheme stands **sanctioned** and **CP(CAA) 117 (ND)/2022** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)